

## The Coca-Cola Company

# Conference Takeaways

Our discussion with CFO John Murphy and President of International Henrique Braun over dinner and a fireside gave us the opportunity to have a more in-depth conversation about the challenges and opportunities across KO's diversified footprint and the continued evolution of the System's way of operating.

**Presenters:** John Murphy (President & CFO), Henrique Braun (EVP & President, International Development)

### What's Incremental

- **KO called out a few markets that are off to a softer start in 2H24 than anticipated, but the company is not sitting still.** Throughout our discussion, KO emphasized the System-wide preference to stay front-footed. Even in markets where consumer sentiment is proving more challenged than previously expected (China, Eurasia) – whether that's the result of macroeconomic or geopolitical pressures – KO does not show signs of complacency.

Perhaps most notably in this regard is the decision to proactively reset the China business while the industry remains more subdued. KO is keeping a pulse on the consumer in a number of ways, including monitoring the percent of daily disposable income spent on beverages in the market. KO has made the decision to concentrate on fewer categories with attractive growth and profit profiles where it has the right to win (sparkling, tea, juice) and de-emphasize other, less profitable ones (bulk water). Within the core categories, there is still work to be done on revenue growth management given price pack architecture is far less developed here than other markets like Latin America, Japan, Korea, and even Philippines. KO has worked with its two bottling partners to identify the optimal packages and distribution channels, but it takes time for these priorities to fully work their way in the market.

- **Meanwhile, there seems to be a growing spotlight on India's compelling market development opportunity.** It feels like India receives a growing amount of airtime across our conversations, and with good reason given this is another market (like China) that boasts a high population but low category per caps that reflects a robust opportunity for KO to grow the commercial beverage space and its portfolio in the market. The country's own infrastructure development (including electrification and digitization) is progressing at an impressive clip in its own right and lays an important foundation for KO's work to expand its own reach around the country.

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## CORE

|                           |            |
|---------------------------|------------|
| KO                        | OVERWEIGHT |
| U.S. CHPC & Beverages     | NEUTRAL    |
| Price Target              | USD 70.00  |
| Price (04-Sep-24)         | USD 72.56  |
| Potential Upside/Downside | -3.5%      |

### U.S. CHPC & Beverages

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To be sure, India's development will not be a straight line – in fact, KO segmented the country into several clusters and fully expects growth to be varied across these distinct pockets. As such, the market's strategy is “winning in many Indias”, and there's considerable investment going in to build out the necessary capabilities to support future growth across the country.

We'd also note KO spoke quite constructively as to the leadership in place overseeing the business, including President of Coca-Cola India & Southwest Asia Sanket Ray. Interestingly, there's already examples of taking best practices out of India back to other markets, particularly how India has integrated the digital StudioX content into commercial plans. And in this vein, we'd think Arnab Roy's recent appointment to Global Coca-Cola Category President (previously the VP of Marketing for India and Southwest Asia) also speaks to the high quality leadership and vision that has been helping to shape the business here.

- **Latin America continues to shine.** Volumes have averaged +MSD over the last few years vs. flattish pre-pandemic. When asked, KO stopped short of calling this a new run-rate for the region but did make clear an expectation to continue to grow the category and KO's share within that. There has been a notable System capex acceleration in the region – visible in both impressive stats like +80k coolers going into Mexico alone in 1H24 but also the extensive digital initiatives under way in Latin America. Over 70% of Latin America's business is digitized (vs. the corporate average of 60%), which makes this an ideal place to pilot some of the new generative AI technology. One such application is in suggested ordering, which uses data insights to recommend which SKUs would be most accretive to add to a customer's order next. Notably, acceptance of suggestions made with the GenAI is 30% higher than those without, highlighting the tool's efficacy. Another application of generative AI is being tested in a RGM tool intended to help make price pack architecture even more effective.
- **Europe shows some signs of improving momentum.** KO acknowledged parts of Europe had a tough start to 2H, but the company is seeing good momentum in a number of markets. The remarks generally echoed what we heard from CCEP yesterday about August looking better ([Coca-Cola Europacific Partners](#), 09/04/24). KO spoke to the continued focus on leveraging the price ladder to give an extensive affordability offering to value-seeking consumers but also retaining some more premium options for those at the higher end of the spectrum.

### What to do with the stock

KO continues to demonstrate its commitment (and ability) to deliver on its topline-led algorithm against a varied and volatile macro backdrop. Recent results highlight KO's tailored approach to supporting momentum across its diverse footprint, with success in select markets helping to overcome challenges elsewhere and reinforcing what we view as a very sound “all-weather” strategy. Solid execution on the top line is coupled with better realization of franchise model benefits coming through the P&L, supporting our constructive outlook for KO and reiterated Overweight rating.

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**The Coca-Cola Company** (KO, 04-Sep-2024, USD 72.56), Overweight/Neutral, A/CD/CE/D/E/J/K/L/M/N

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### U.S. CHPC & Beverages

|                                             |                                           |                                          |
|---------------------------------------------|-------------------------------------------|------------------------------------------|
| Brown-Forman (BFb)                          | Church & Dwight Co., Inc. (CHD)           | Clorox Company (CLX)                     |
| Coca-Cola Europacific Partners plc (CCE.AS) | Coca-Cola Europacific Partners plc (CCEP) | Colgate-Palmolive (CL)                   |
| Constellation Brands (STZ)                  | Coty Inc. (COTY)                          | Duckhorn Portfolio Inc (NAPA)            |
| Edgewell Personal Care Company (EPC)        | Energizer Holdings, Inc (ENR)             | International Flavors & Fragrances (IFF) |
| Keurig Dr Pepper (KDP)                      | Kimberly-Clark Corp. (KMB)                | Molson Coors Beverage Company (TAP)      |

|                            |                                 |                                   |
|----------------------------|---------------------------------|-----------------------------------|
| Newell Brands Inc. (NWL)   | ODDITY Tech Ltd. (ODD)          | Olaplex Holdings, Inc. (OLPX)     |
| PepsiCo Inc. (PEP)         | Procter & Gamble (PG)           | Reynolds Consumer Products (REYN) |
| The Coca-Cola Company (KO) | The Estée Lauder Companies (EL) |                                   |

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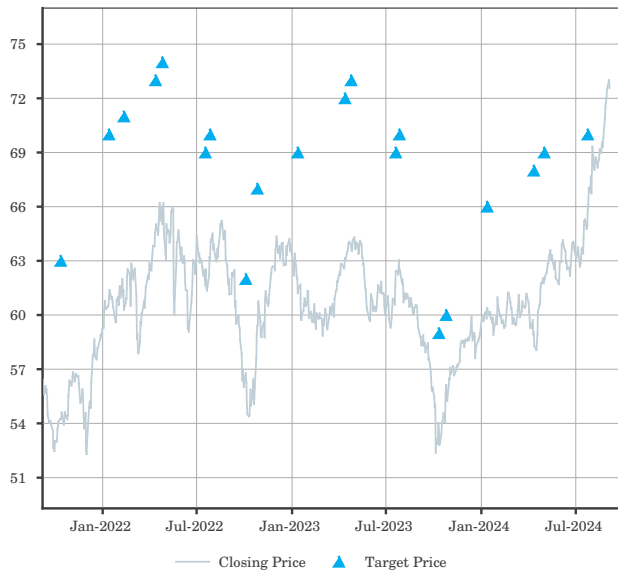
Stock Rating: **OVERWEIGHT**

Industry View: **NEUTRAL**

Closing Price: **USD 72.56** (04-Sep-2024)

Rating and Price Target Chart - USD (as of 04-Sep-2024)

Currency=USD



Source: IDC, Barclays Research

[Link to Barclays Live for interactive charting](#)

| Publication Date | Closing Price* | Rating | Adjusted Price Target |
|------------------|----------------|--------|-----------------------|
| 24-Jul-2024      | 64.96          |        | 70.00                 |
| 01-May-2024      | 61.77          |        | 69.00                 |
| 11-Apr-2024      | 59.72          |        | 68.00                 |
| 12-Jan-2024      | 59.81          |        | 66.00                 |
| 25-Oct-2023      | 55.64          |        | 60.00                 |
| 11-Oct-2023      | 54.03          |        | 59.00                 |
| 27-Jul-2023      | 63.05          |        | 70.00                 |
| 20-Jul-2023      | 61.64          |        | 69.00                 |
| 25-Apr-2023      | 63.95          |        | 73.00                 |
| 13-Apr-2023      | 62.69          |        | 72.00                 |
| 12-Jan-2023      | 61.21          |        | 69.00                 |
| 26-Oct-2022      | 58.95          |        | 67.00                 |
| 04-Oct-2022      | 56.78          |        | 62.00                 |
| 27-Jul-2022      | 63.21          |        | 70.00                 |
| 18-Jul-2022      | 61.65          |        | 69.00                 |
| 26-Apr-2022      | 65.94          |        | 74.00                 |
| 13-Apr-2022      | 64.73          |        | 73.00                 |
| 11-Feb-2022      | 61.38          |        | 71.00                 |
| 13-Jan-2022      | 60.90          |        | 70.00                 |
| 12-Oct-2021      | 54.23          |        | 63.00                 |

On 05-Sep-2021, prior to any intra-day change that may have been published, the rating for this security was Overweight, and the adjusted price target was 65.00.

Source: Bloomberg, Barclays Research

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